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A New, Equitable Tax Code

FM's Budget speech earmarked 'taxation' as a dominant pillar to guide India through a reformatory phase

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68 | OUTLAYS, OUTCOMES, and outposts—the triumvirate of 'O's, which determine major microfinance decisions, are interlinked with an economy's power to leverage self-sufficiency and ascendancy. In a tumultuous global disposition ridden with economic downturns and the US action on tariff structures, evident fall in most economic parameters on demand, investment and a slight dip in corporate tax collection, Finance Minister Nirmala Sitharaman had multiple challenges. On February 1, the matrix for her eighth consecutive Budget was unblemished: the document should transcend from policy prescriptions to bold affirmative action, signalling relief to the middle class and a message for continuity of reforms with the overarching theme of 'Viksit Bharat'. The Budget announcements predicate four luminescent considerations for India: consolidating avenues for FDI inflows, measures to augment employability, foolproofing against externalities and geopolitical shocks, and reimagining the blueprint for ease of business.

The Budget speech earmarked 'taxation' as a dominant pillar to guide India through this reformatory phase. Reforms are seldom attained without recalibration, and the adage 'trust first, scrutinise later' is a carillon to the tax administration. These tax proposals contain an adage of trust as a two-way street: tax administrations shall deliver on certainty and efficacious dispute resolution, while taxpayers shore up on voluntary compliances

them from the translucent application of the law, and not to forget the tormenting and time-consuming litigation process. The new Bill should serve as a panacea to build a broader and more committed tax base, protecting taxpayer rights.

Recommendations for addressing a core issue in the new code include the stratification of law into mini codes tailored for different taxpayer categories. The exchange of taxpayer information with other

A CODIFIED OBLIGATION TO ADHERE TO COURT RULINGS COULD STREAMLINE THE RESOLUTION PROCESS AND REDUCE GRIEVANCES

with ease and best practices on tax adaptability. The new income tax Bill shall carry forward the proposals and hopefully double its reformist (Nyaya) endeavours. It should have a lucid, dynamic interpretation of tax provisos and extant jurisprudence and be concise to inspire domestic and foreign investors, given that the extant law of 1961 has been replete with over a few thousand amendments and rendered unwieldy and complex. Resultantly, taxpayers have been condemned with protracted litigation, eluding

enforcement authorities like GST and the ED will be subject to structured checks and balances to avoid duplicity of proceedings. A mandatory show-cause before information sharing would prevent hardships, besides adhering to principles of natural justice. Also, the current dual tax regime (for individuals and businesses), which requires an annual assessment of the beneficial option, exacerbates compliances. A well-defined sunset clause for the old regime would promote transparency.